

GAS TAX

The End of Gas Pain? Oregon Launches Nation's First Road-User Charge

The Beaver State is moving from pilot to adoption, but the degree of public acceptance remains unclear.

**By Noel Popwell**

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The Streetsblog Photoshop Desk

It has been a decade since Oregon launched OReGO, the nation's first road-user charge pilot designed to test whether drivers could be taxed by miles driven rather than by fuel consumed. What began as a small voluntary program is now on track to become a statewide mandate for certain vehicles, marking a major shift in how Oregon plans to pay for its transportation system.

The timing reflects a growing fiscal challenge. Fuel tax revenues — long the backbone of state transportation budgets — continue to decline as vehicles become more efficient, as electric vehicle adoption accelerates, and as inflation erodes the purchasing power of gas tax revenues collected at the pump. State officials say a per-mile charge offers a more stable and predictable income stream as vehicle technology evolves.

But as the Beaver State moves from pilot to adoption, it remains unclear to what degree there is public acceptance of the concept and whether a user-pays system can work at scale.

Even with those uncertainties, the Oregon Department of Transportation's innovative programs policy adviser Scott Boardman provided an update on where the rollout stands. Here are the main takeaways:

Adoption is set for July 1, 2027

Unlike the pilot, which relied on volunteer drivers, the road-user charge will apply automatically to electric vehicles already registered in Oregon. Newly registered EVs and hybrids will be added the following year.

A substantial amount of work remains before the launch. ODOT must integrate its systems with DMV, modernize the state's fuel-tax infrastructure, and complete data-exchange protocols with private account managers. Officials note that a few "punch-list" tasks may slip beyond the go-live date, but the core systems are expected to be ready.

External contractors will continue managing enrollment, mileage reporting, billing, and customer service. ODOT says the model is far more developed than it was at the start of the pilot, with standardized reporting and improved data security.

The per-mile rate is just over two cents and tied to the fuel tax, at least for now

Under current statute, the per-mile rate is set at 5 percent of the state fuel-tax rate, or just over two cents per mile. The rate will adjust automatically if the fuel-

tax rate changes. Over time, lawmakers may choose to decouple the two, allowing the per-mile charge to evolve independently.

A statewide referendum is expected in November on the broader transportation funding bill, but the road-user charge provisions are not part of the measure. Revenue from the per-mile charge is projected to begin flowing in 2029, with more substantial increases forecast between 2031 and 2035.

Privacy protections remain largely unchanged

Privacy concerns dominated early debates over OReGO, as opponents of the concept argued that a distance-based system could allow the state to track driver location. But the enabling legislation carries forward many of the pilot's safeguards: The law requires destruction of driver data after billing and limits access to personally identifiable information to vehicle owners, financial institutions, account managers, and law enforcement under defined circumstances.

Drivers will still be able to decide how their mileage is reported — a feature meant to keep both data handling and billing arrangements under their control. After 10 years without a reported breach, ODOT hopes the program's track record will help ease public concerns as the program becomes mandatory.

Charging out-of-state vehicles is still unresolved

Since 2013, Oregon has been part of a coalition of 18 western states called RUC America exploring whether a road-usage charge could work within their own transportation systems. The consortium allows state DOTs to pool expertise, share research, and potentially jointly develop pilots and policy frameworks. The group has already backed a wide range of studies and demonstrations and continues to steer multi-state exploration of RUC approaches.

Discussions are underway among the consortium to explore potential reciprocity agreements, but officials say no consensus has emerged. The challenge involves both design and policy considerations, including how to verify mileage, how to reconcile differing state systems, and how to ensure that charges are applied consistently across jurisdictions.

ODOT views RUC America as a vehicle for addressing this issue after the program launches.

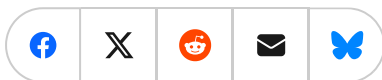
Public outreach is underway

According to ODOT, public understanding of transportation funding remains limited. Participation in the OReGO pilot was modest, and surveys found that many drivers had only a basic grasp of how fuel taxes work or why the state is considering a new approach.

To prepare drivers for the shift, the agency is rolling out a statewide outreach campaign. A communications consultant will oversee public-relations work, and informational materials will be sent out ahead of registration renewals. ODOT also plans to partner with auto dealers so sales and finance staff can explain the new requirements for eligible vehicles.

These efforts, officials say, are meant to close the awareness gaps revealed during the pilot, build trust, and help drivers understand what the new system will mean for them.

More than a decade after OReGO's launch, Oregon is preparing to take a major step toward replacing the gas tax with a per-mile charge. The pilot demonstrated that the technology works, that privacy protections can be enforced, and that drivers can navigate the enrollment and billing process. What remains to be seen is how the system performs at scale — and how the public responds once participation is no longer optional.



Noel Popwell

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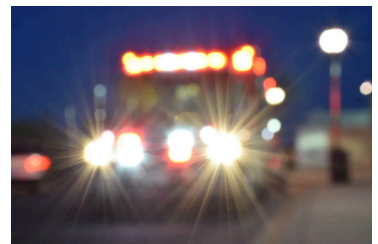


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